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ANSWER FROM HERE

Ans. to the ques. No 2

Discontentment with the modernization theory, precipitated new strands of thinking that resulted the development of dependency theory in the 1950s.

Dependency theory came as "a critical reaction to the conventional model of economic development, i.e., modernization theory."

The proponents of dependency theory argue that modernization theory failed to articulate the true relationship

between the developed countries and poor countries. Modernization theory hides the true intention of ex-colonial masters (developed countries) towards their ex-colonies (developing countries).

2 The failure of modernization theory to express the true relationship among the countries and their criticism ultimately led to the development of "Dependency theory", which is also known as "world system theory."

Four major arguments of dependency theory:

i) The role of colonization: It is impossible to understand the reality of developing and underdeveloped countries without

knowing the historical context of colonization.

When Europe was on "take-off" stage of their development process (according to Rostow model) and just before the famous known "industrialization", they colonized many regions around the world. Those colonies were used to extract labor and resources almost without any significant cost. This exploitation helped European industrialization to grow.

Modernization theory advocates developing and underdeveloped countries to follow the footsteps of Western developed countries. But the theory completely ignores the incidence of colonization in their argument.

During colonial era millions of African slaves were shipped to Europe and USA to work in their plantation. These type of

labor and resource is neither possible in
present day context nor it should be
done any way on moral ground.

As modernization theory ignores the role
of colonization, it becomes difficult for the
poor countries to follow the modernization
theory.

Moreover, one of the main purpose of
colonization was to repatriate the surplus
value or profit from the colonies to their
own countries. This is a systematic expropriation
that extracted profit from the colonies.

Thus, the development of Europe can be
seen as the same process that underdeveloped
Africa or Asia. Underdevelopment is not
an original state, it is a result of
systematic exploitation.

ii) Human resource outflow still continues:

Slaves were traded to Europe and USA during colonial period to work in the plantations of colonial masters.

This human resource outflow did not end with colonization. It still continues in the form of "brain-drain".

From 1994-2004, 1.16 million of South African professionals have migrated. In this period, South Africa lost 25% of their graduates to USA alone. 9.7% of international medical graduates practicing in Canada are South African.

This is true for almost all the developing and underdeveloped country, when they lose their brightest professionals to the west, they have to rely on

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foreign consultants, engineers, doctors and other professionals that incur cost of foreign currency borrowing.

(iii) West determines the level of development of poor countries.

If the developing nation is on underdeveloped country & too little developed, it becomes difficult for the west to extract resources & surplus value.

Poor countries often supply raw materials to the west and western MNCs achieve huge profits by getting cheap raw material supply. This benefit can be

attained when trade is facilitated.

Roads, bridges, ports help trade. Moreover, electricity is also required.

for export-led companies to operate.

As a result, WB, IMF, WTO always helps to construct infrastructures like roads, bridges, ports or power plants.

Then with the help of these infrastructures west can exploit poor countries.

But if the level of development is too high, then the poor countries may become self sufficient in technology or capital. This is seen as a threat towards the west. West always wants poor countries to depend on them for various purposes, specially for loans and technologies.

Technologies are often protected via patents.

Thus, in order to exploit the poor country and minimize their threat to become independent, west determines the level of development of poor countries that optimizes the benefit of the west.

(ii) Regional inequality will grow

According to modernization theory, if poor countries follow the footsteps of western developed countries, they will

develop or modernize. With time inequality

will reduce. Inequality is a temporary

phenomenon.

But according to the arguments of

dependency theory, inequality is permanent.

West with their inherent advantage will grow, whereas, poor countries will remain stagnant for their technological disadvantage.

A developing and underdeveloped country supply raw materials to the west and west produce manufacturing products with it.

The it is impossible for poor countries to catch up the west.

For example, Africa produces coffee, cocoa, cotton, steel, copper, aluminium. These are

served as raw materials for European manufacturing industries. More importantly

these are low valued products.

Whereas, Europe produces manufacturing

goods, cars, aircrafts etc. These are high valued products.

It takes a long time to earn significant amount of foreign currency by exporting low valued products.

But a huge portion of foreign currency can outflow by simply purchasing ore high valued products.

Thus, regional inequality can not but rise. In this process Africa have no chance to catch up the income level of Europe.

~~Europe~~ Africa have steel, aluminium but they still can not produce aircrafts. Because they do not have the technology.

Europe imports raw materials from Africa and produces aircrafts because they have the technology. Europe needs even want Africa to develop so much in technology so that they can produce aircrafts. If Africa produces aircrafts, Europe may loose their market share. Therefore, Europe has protected technology via patents.

3 Hence, regional inequality will increase in every possible way.

→ These are the major 4 arguments of dependency theory.